India provided Rs. 91.5 lakh for economic assistance to Nepal.[51] Finally, in his statements before parliament, Nehru also emphasised India's responsibility for the security of the three Himalayan states.[52]

The Indian government's most far-reaching measure was making the Army responsible for securing the entire northern border in October 1959. The Army's initial decisions were based on a military intelligence appreciation issued in October 1959 that the threat from China was limited to minor border intrusions and incidents by company- or battalion-sized forces. Since China fielded only a brigade-plus with some tanks opposite Ladakh, Army Headquarters decided to build up a brigade group composed of two regular infantry battalions and two Jammu and Kashmir militia battalions. Even before this force could be built up, a second intelligence review issued in October 1960 estimated that the PLA's strength has grown to more than a division, including armour. Although Western Command subsequently raised a demand for troops worth a division plus administrative elements, Army Headquarters never took a decision in this regard. Because of the shortage of air lift and the road link between Srinagar and Leh being completed only in October 1961, the build-up of even the earlier requirement of a brigade group was completed only in August–September 1962, that too without its complement of guns and mortars and with only one platoon of medium machine guns. While this force, which was "thinly spread-out, with no supporting arms worth the name and with poor communications between the various sectors," may have been adequate for marking the state's physical presence, it was liable to be "defeated in detail" in the event of hostilities.[53]

For contingencies on the Sikkim–Bhutan sector of the border, the Army planned to deploy an infantry division, with one brigade at Gangtok, the second at Kalimpong, and